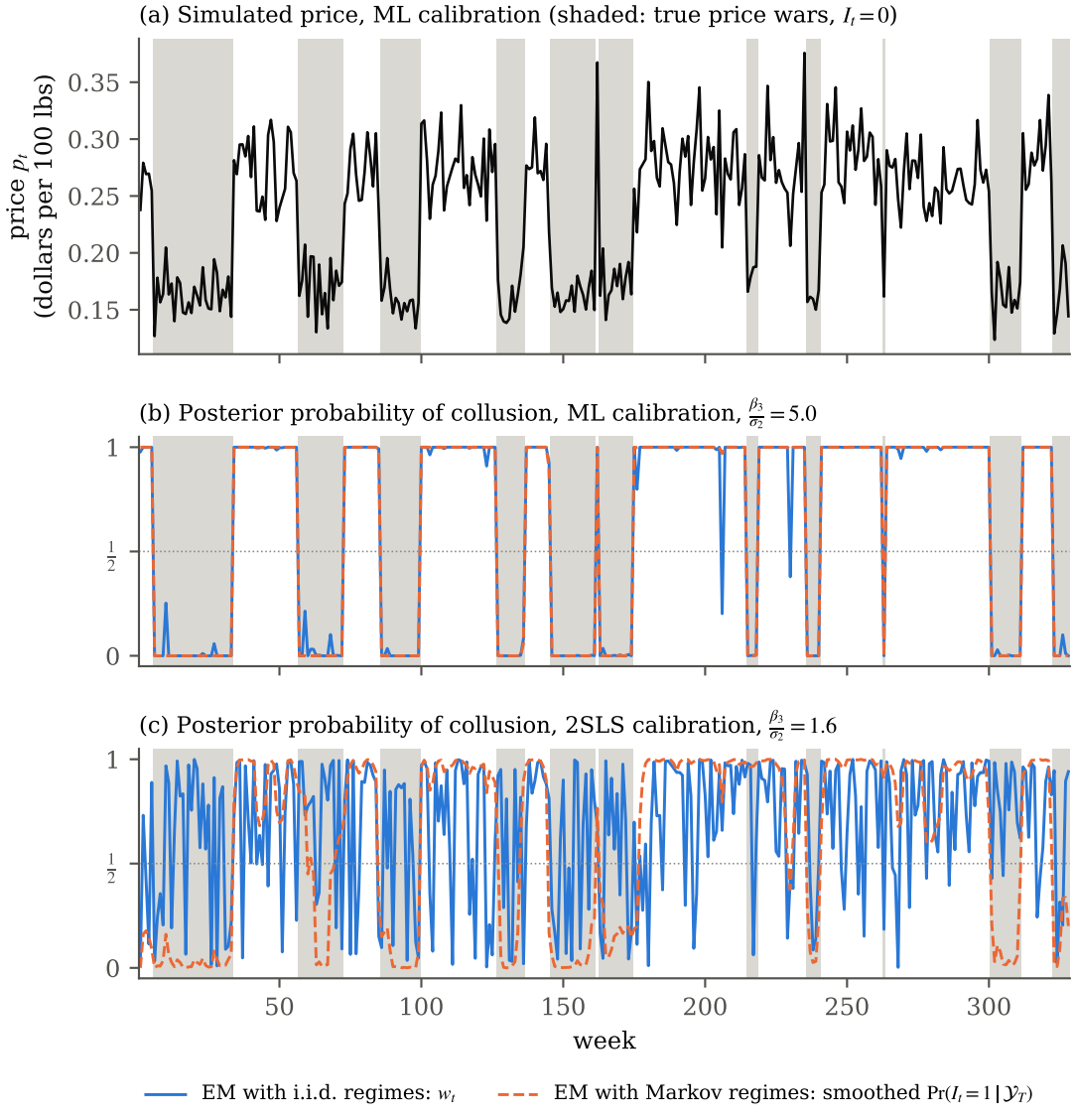
(a) Simulated price, ML calibration (shaded: true price wars, $I_t = 0$)
price p_t (dollars per 100 lbs)
0.35
0.30
0.25
0.20
0.15
(b) Posterior probability of collusion, ML calibration, $\frac{\beta_3}{\sigma_2} = 5.0$
1
$\frac{1}{2}$
0
(c) Posterior probability of collusion, 2SLS calibration, $\frac{\beta_3}{\sigma_2} = 1.6$
1
$\frac{1}{2}$
0
50
100
150
200
250
300
week
EM with i.i.d. regimes: w_t
EM with Markov regimes: smoothed $\Pr(I_t = 1 \mid \mathcal{Y}_T)$